Grandeur
The Consulting and Knowledge Cell of SSCBS

S.S. COLLEGE OF BUSINESS STUDIES
UNIVERSITY OF DELHI

GROWW

Company Report

Grandeur

The Consulting and
Knowledge Cell of SSCBS

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BUSINESS MODEL

SERVICES

Groww is an investment platform accessible via web and app, offering stocks, mutual funds, futures, options, intraday trading, and instant loans to eligible users. It provides financial education through blogs, articles, and videos. Users can create a free demat account with no minimum balance or trading requirements by registering and verifying with their PAN number.

1) Investment Products:

- **Stocks-** This includes securities listed on the National Stock Exchange (NSE) and Bombay Stock Exchange (BSE) including Futures and Options (F&O), Exchange Traded Funds (ETFs), Initial Payment Offerings (IPO), and Sovereign Gold Bonds (SGBs). Groww's offering also includes stocks available on US markets and in US ETFs.
- **Mutual Funds-** Mutual Fund offerings include Direct fund, Smart Save, New Fund Offerings, Track and Compare.

2) Groww Credit:

Groww also offers instant loans to selected users. The eligibility for a pre-approved loan amount is determined based on credit history, current investment amount on Groww, and debt-to-income ratio.

3) Education:

Groww offers financial education resources such as a weekly newsletter Groww Digest, a YouTube channel called Groww Academy, and an annual virtual seminar Groww Thrive, where educators and content creators gather to speak on topics like education, business, and mental health.

BUSINESS MODEL

MODEL

Groww provides a zero commission platform. It does not charge a demat account opening fee, maintenance fee, or mutual fund brokerage fee. It does charge flat-fee brokerage on equity and F&O, goods and services tax (GST), etc., and regulatory and statutory charges.

- Regulatory and Statutory charges include:
- Security Transaction Tax (STT)
- Exchange transaction charges
- Depository Participant (DP) charges
- SEBI turnover fees
- GST
- Stamp Duty

For US Stocks, there are no account opening charges, maintenance or brokerage charges. Other charges levied are:

- USD-INR exchange rate as applied by one's bank
- Bank charges
- Withdrawal charges- $9 per withdraw transaction, charged by US counterpart bank
- Exchange fee- $0.02 per sell transaction, charged by exchange

Revenue Streams: Groww mainly earns revenue from brokerage and other allied services, and other operating revenue from interest on deposits.
Costs Incurred: Costs for Groww include employee-benefit expenses, followed by advertising and marketing, and technology.

PESTEL ANALYSIS

Groww can potentially impact various aspects of the Political, Economical, Social, Technological, Environmental and Legal (PESTEL) frameworks in India. Here's a breakdown of the potential influences:

POLITICAL

Groww can contribute to financial inclusion by providing investment and wealth management services to a wider range of Indians, potentially empowering them and influencing political participation. They can also support government initiatives like Digital India by promoting online financial transactions.

If Groww is not careful about data privacy and security, it could raise concerns about government surveillance and misuse of personal information. Additionally, any financial malpractices, could erode public trust in financial institutions and the government's ability to regulate them.

ECONOMICAL

Groww can contribute to economic growth by mobilizing savings and investments, which can then be directed towards productive sectors. They can also create jobs, both directly and indirectly.
Examples:
Financial Inclusion: Groww offers zero-commission investing for mutual funds, making them accessible to a wider range of Indians, potentially encouraging participation in the capital market and empowering individuals financially. This aligns with government initiatives like Jan Dhan Yojana and promotes financial democracy.

PESTEL ANALYSIS

SOCIAL

Groww can promote financial literacy and awareness among Indians, potentially leading to better financial decision-making and improved well-being. They can also empower women by providing them with access to financial products and services.

Examples:

- Financial Literacy: Groww offers educational resources and webinars, promoting financial literacy and awareness among Indians, leading to better financial decision-making and improved financial well-being.
- Women Empowerment: Groww encourages women's participation in the financial markets by offering investment options tailored to their needs and conducting workshops focused on financial planning for women.

TECHNOLOGICAL

Groww can accelerate the adoption of financial technology (FinTech) in India, leading to more efficient and accessible financial services. They can also invest in and develop new financial technologies that benefit the wider population.

Examples:

1. FinTech Adoption: Groww's user-friendly app and platform contribute to the widespread adoption of FinTech in India, making financial services more accessible and convenient.
2. Innovation: Groww invests in new financial technologies like AI-powered investment advisory and robo-advisors, aiming to further improve financial inclusion and efficiency.

PESTEL ANALYSIS

ENVIRONMENTAL

Groww can encourage investments in sustainable and environmentally friendly businesses and projects. They can also adopt green practices within their own operations.

Examples:

1. Sustainable Investments: Groww offers investors the option to choose from ESG (Environmental, Social, and Governance) focused mutual funds, promoting investments in environmentally responsible companies and projects.

Green Practices: Groww implements green practices within their own operations, such as promoting paperless transactions and adopting energy-efficient technologies.

LEGAL

Groww can comply with all relevant financial regulations, setting a positive example for other companies. They can also advocate for sound financial regulations that protect consumers and promote financial stability.

Examples:

1. Regulatory Compliance: Groww adheres to all relevant financial regulations, setting a positive example for other companies in the industry and promoting trust in the financial system.
2. Consumer Protection: Groww prioritizes consumer protection by implementing robust security measures and providing clear and transparent information about their products and services.

COMPETITOR ANALYSIS

GENERAL SECURITY MEASURE

Choosing a stockbroker involves not just cost assessment, but also the crucial aspect of security. Here's an analysis of the security measures employed by four of India's most popular discount brokers.

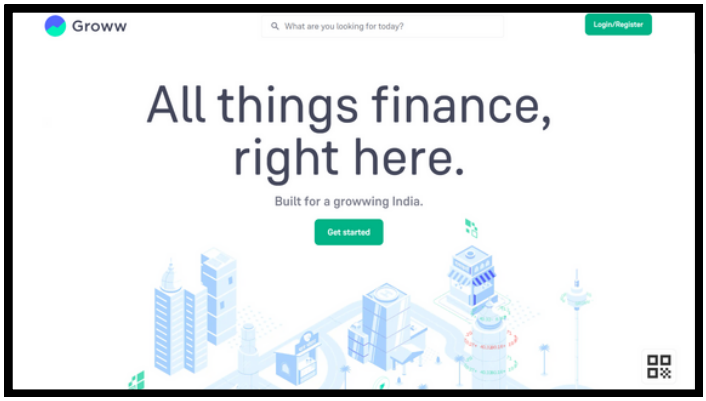
SEBI Registration: SEBI registry ensures compliance with financial regulations and investor protection guidelines.
Two-Factor Authentication: All platforms offer 2FA for logins, adding an extra layer of security beyond just passwords.
Data Encryption: Sensitive data are encrypted both in transit and at rest, protecting it from unauthorized access.
Secure Sockets Layer (SSL): All platforms use SSL certificates to encrypt communication and safeguarding data.
Regular Security Audits: The platforms undergo regular security audits by independent firms to identify vulnerabilities.

Groww	Upstox
• Paperless KYC • Bank Level Security • Multi Factor Authentication	• Strong Password Policies • Session Timeout • Suspiscious Activity Monitoring
Angel One	**Zerodha**
• Penetration Testing • Secured API Access	• Advanced Infrastructure • Internal Security Control • Transparency

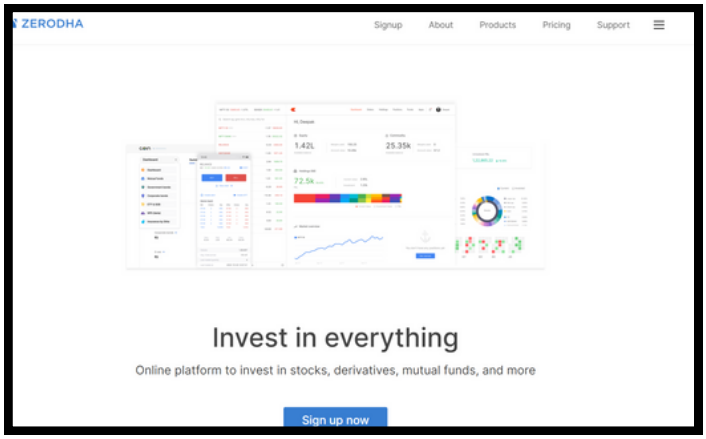
COMPETITOR ANALYSIS

USER INTERFACE

Groww: Simplistic interface with clear buy/sell buttons and intuitive order placement process. Ideal for beginners. Clean and user-friendly mobile app with all essential features for on the go trading.



Upstox: Offers various order types and advanced features, but the interface can be overwhelming for new users. Feature-rich app, but can be buggy at times and might feel cluttered for some users.



Angel One: Similar to Upstox in feature variety, but the layout feels slightly dated and less intuitive. Robust mobile app with basic trading functionalities, but lacks the modern touch of Groww and Upstox.

Zerodha: Streamlined interface with keyboard shortcuts and customizable options for experienced traders. Might have a learning curve for beginners. Feature-packed app with advanced charting tools and order placement options, catering to experienced traders.

COMPETITOR ANALYSIS

FUND TRANSFER

Market Data & Research	VS	Overall Transaction Ease
Offers basic market data and limited research tools. Suitable for beginners with simple investment strategies		Ideal for beginners with its straightforward interface and smooth order execution. May lack depth for advanced traders
Provides a broader range of market data and research reports, including fundamental and technical analysis tools		Good balance between ease of use and advanced features, but interface can be overwhelming for new users as it is hard to navigate
Offers comprehensive market data and research resources, catering to traders of all levels		Suitable for traders seeking basic and advanced functionalities, but the user experience might feel outdated
Boasts extensive market data feeds, advanced charting tools, and sophisticated research reports for active traders		Caters best to experienced traders with its fast execution and feature-rich platform. Might have a steeper learning curve for beginner

COMPETITOR ANALYSIS

DATA BASED ANALYSIS

Companies	Market Share	Customer Base (in lakhs)	Unique Product	Charges
Groww	**20.35**	**66.3**	**Customer Focus**	**Rs. 20 per order or 0.05% whichever is low for Equity Delivery**
Upstox	9	22.3	Advance Trading Platform	Rs. 3.4 per order for Equity Delivery
Angel One	13	36.5	Discount Brokerage Fees	Free Equity delivery
Zerodha	19.9	64.8	Low Brokerage Model	Free Equity delivery

FUTURE OF GROWW

KEY FUTURE TRENDS

01

GREEN FINANCE

- Investment options
- ESG Integration
- Carbon Offsetting

02

BLOCKCHAIN TECHNOLOGY

- Assets & Platform
- Decentralization
- Strategic Decision

03

AI & BIG DATA

- Beyond the charts
- Decision Making

GREEN FINANCE

Green Finance Initiatives: Enhancing Sustainable Investments at Groww

Introduction:

Groww, a leading financial institution, prioritizes sustainable investments and eco-friendly practices. Through proactive initiatives, Groww aligns its operations with environmental stewardship, empowering investors. This report outlines Groww's commitment to green finance, highlighting strategies promoting sustainability.

Sustainable Investment Options:

Groww offers diverse investment options favoring companies with strong environmental credentials, focusing on renewable energy, clean tech, and sustainable agriculture.

ESG Integration:

Groww integrates Environmental, Social, and Governance (ESG) factors into investment analysis, ensuring decisions reflect sustainability and responsible practices.

Education and Awareness:

Groww educates investors on sustainable investing through resources and outreach, empowering them to align investments with values.

GREEN FINANCE

Green Bonds and Funds:

Groww offers green bonds and funds financing environmental projects like renewable energy infrastructure, enabling targeted sustainability contributions.

Carbon Offsetting:

Groww enables emission offsetting through support for projects reducing greenhouse gas emissions, such as reforestation.

Advocacy and Engagement:

Groww engages with stakeholders to advocate for stronger environmental regulations, fostering a sustainable investment landscape.

Conclusion:

Groww is committed to advancing green finance, promoting sustainable investments and environmental responsibility. Through strategies like sustainable investment options, ESG integration, education, green bonds, carbon offsetting, and advocacy, Groww catalyzes positive environmental impact while delivering investor value.

BLOCKCHAIN TECHNOLOGY

INTEGRATION

Integration of Blockchain Technology: Leading the Indian Fintech sector with blockchain technology

Integration of Blockchain-based Assets: Integration of blockchain-based assets like cryptocurrencies into the Groww platform could allow the users to invest in digital assets alongside traditional securities, broadening their investment options.

Blockchain-based Trading Platform: Develop a dedicated platform or feature within Groww specifically for trading blockchain-based assets. This platform could offer features tailored to the unique characteristics of cryptocurrencies and other digital assets, such as real-time market data, advanced charting tools, and secure wallet integration.

Decentralization of Services: Explore opportunities to integrate decentralized finance protocols and services into the Groww platform. This could include offering decentralized lending and borrowing services, yield farming opportunities, or liquidity mining programs.

Blockchain for Asset Tracking and Verification: Utilize blockchain technology for asset tracking and verification to enhance transparency and security within the platform. For example, blockchain can be used to track the ownership history of assets, verify the authenticity of investment products, and streamline the settlement process.

BLOCKCHAIN TECHNOLOGY

STRATEGIC

- **Partnerships and Collaborations**: Forge partnerships with blockchain startups, technology providers, and financial institutions to leverage their expertise and resources in developing blockchain-related products and services. Collaborating with established players in the blockchain space can accelerate Groww's expansion into this arena.

- **Regulatory Compliance**: Stay abreast of regulatory developments related to blockchain and digital assets, and ensure compliance with relevant laws and regulations. This may involve obtaining necessary licenses and certifications, implementing robust security measures, and adhering to industry best practices.

- **Security**: Blockchain uses cryptographic techniques to secure transactions and ensure the integrity of the data. Each transaction is cryptographically signed and verified by the network, making it resistant to fraud and tampering.

- **Consensus Mechanisms**: Blockchain networks rely on consensus mechanisms to achieve agreement among nodes on the validity of transactions. Popular consensus mechanisms include Proof of Work (PoW), Proof of Stake (PoS), and variations thereof. These mechanisms ensure that all nodes in the network reach a common understanding of the state of the blockchain.

BIG DATA AND AI

BEYOND THE CHARTS

Groww incorporates AI and big data in their business model through various technologies and strategies. Here are some key ways they leverage these technologies:

1. Machine Learning Models: Machine learning models assists to create different investor buckets and customize the user flow accordingly enabling distinct experiences for first-time investors, repeat investors, and those tracking external funds on the platform.

2. Image Processing: During the onboarding and KYC process, Groww employs image processing to reduce errors and make the process instant.

3. BigQuery: Groww uses BigQuery to analyze data effectively, enabling swift and efficient decision-making, particularly, important for a startup.

4. Data Visualization: The company uses Looker Studio to visualize the information generated through charts and graphs, making it easier to understand and act on the insights derived from their data.

5. Predictive Analytics: By leveraging AI and big data, Groww can analyze user behavior and preferences, enabling them to predict and adapt to changing market conditions and user needs. This helps them to improve their services and stay competitive in the fintech space.

BIG DATA AND AI

6. Automation: Groww's use of AI and big data also enables automation of certain tasks, such as document verifications during the onboarding process. This not only reduces errors but also enhances the overall user experience.

7. Data-Driven Decisions: With the ability to analyze large amounts of data quickly and effectively, Groww can make data-driven decisions that are informed by real-time market trends and user behavior. This helps them to stay ahead of the competition and optimize their business operations.

By incorporating AI and big data into their business model, Groww is able to provide a more personalized and efficient experience for users, while also driving innovation and competitiveness in the fintech sector.

OTHER INFORMATION

Stay tuned with Grandeur for more updates.

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